ORCHARDLIGHT LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

REGISTERED NUMBER· 3320875

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ORCHARDLIGHT LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 53 weeks ended 30 December 2006 (2005 52 weeks)

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The company is a wholly owned subsidiary of Galiform Plc, and operates as part of the Galiform Plc's Corporate division The company's principal activities are as an intermediate holding company During the period under review, the company disposed of its holding in the MFI UK Retail business That transaction is discussed in detail in the Galiform Plc accounts The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year

As shown in the company's profit and loss account on page 4, profit for the financial period amounted to £30,000,000 The directors recommend that no dividend be paid The directors are satisfied with the progress of the business

The balance sheet on page 5 of the financial statements shows that the Company's financial position at the end of the year is, in both net assets and cash terms, consistent with prior years Details of amounts owed to the parent company are shown in note 6

The Galiform Plc group manages its operations on a divisional basis For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business The performance of the Galiform Plc group, which includes this Company, is discussed in the Group's Annual Report which does not form part of this report

PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt It therefore has no interest rate exposure The Company has no other significant risks and uncertainties, other than those risks that it shares with the Galiform Plc Group, given that the Company's principal activities are holding investments in other Galiform PLC Group companies The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were

I P H Arnold (resigned 5 May 2006, appointed 17 October 2006)
G Hughes (appointed 5 May 2006)
M Ingle (appointed 5 May 2006)
G Regan (resigned 10 November 2006)
M Robson

No director held any beneficial interest in the shares of the Company at any time during the period

Beneficial interests of the directors, including family interests, in the share capital of the ultimate holding company, Galiform Plc, formerly MFI Furniture Group Plc at 30 December 2006 and 24 December 2005 are disclosed in the accounts of that company with the exception of IPH Arnold and G Hughes whose interests are shown below

	At 30 December 2006 Ordinary shares of 10p each		At 24 December 2005 Ordinary shares of 10p each	
	Shares in issue	Share options	Shares in issue	Share options
IPH Arnold	34,075	309,236	409,236	-
G Hughes	191,852	308,932	308,932	170,000

The options outstanding are exercisable at prices between 106 5p and 160 1p IPH Arnold and G Hughes also held a beneficial interest in the All Employee Share Incentive Plans in common with all members of the scheme At the year end, the scheme held 942,941 shares *(2005 1,770,888 shares)*

Under the terms of the Senior Managers Co-Investment Plan, G Hughes and IPH Arnold had 25,383 and 22,900 commitment shares respectively with Galiform Plc granting 38,082 and 34,350 matching shares respectively The Senior Managers Co-investment Plan offers 1½ matching shares for every share held in the plan by a senior manager, conditionally vesting after three years

ORCHARDLIGHT LIMITED
DIRECTORS' REPORT (Cont'd)

ENVIRONMENT

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the group's activities The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report Initiatives designed to minimise the company's impact on the environment include improving our energy use efficiency, reducing the amount of CO2 emissions by switching from conventional to renewable energy sources and minimising the consumption of water and the production of waste (both hazardous and non-hazardous)

AUDITORS

The directors at the date of approval of this report confirms that

- so far as the directors are aware, there is no relevant audit information of which the company's auditors are unaware,
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the company's auditors aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985

Pursuant to a shareholders' resolution passed during the year, the Company is not obliged to reappoint its auditors annually and Deloitte & Touche LLP will therefore continue in this office

REGISTERED OFFICE

The company's registered office is International House, 1st Floor, 66 Chiltern Street, London, W1U 4JT

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985 They are also responsible for the system of internal control, safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities

By Order of the Board

G M Hughes
Secretary
13 July 2007

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ORCHARDLIGHT LIMITED

We have audited the financial statements of Orchardlight Limited for the 53 week period ended 30 December 2006 which comprise the Profit and Loss Account, the Balance Sheet, and the related notes 1 to 10 These financial statements have been prepared under the accounting policies set out therein

This report is made solely to the company's members, as a body, in accordance with section 235 of the Companies Act 1985 Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland)

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985 We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements

In addition we report to you if, in our opinion, the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements It also includes an assessment of the significant estimates and judgments made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements

Opinion

In our opinion

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 30 December 2006 and of its profit for the 53 week period then ended,
- the financial statements have been properly prepared in accordance with the Companies Act 1985, and
- the information given in the Directors' Report is consistent with the financial statements

Deloitte & Touche LLP

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors
London

20 July 2007

ORCHARDLIGHT LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

	Notes	**53 weeks to 30 Dec 2006 £000**	52 weeks to 24 Dec 2005 £000
Administrative expenses		-	(7)
Impairment of investments	4	-	(770,425)
Operating loss		-	(770,432)
Dividends received		**30,000**	384,000
Profit/(loss) on ordinary activities before tax		**30,000**	(386,432)
Tax on profit on ordinary activities	3	-	147
Profit/(loss) for the financial period		**30,000**	(386,285)
Dividends paid		-	(121,000)
Amount transferred to/(from) reserves		**30,000**	(507,285)

The results for the 53 week period ended 30 December 2006 and the prior period are derived from continuing operations

There are no recognised gains or losses in the current or preceding financial periods other than as stated in the profit and loss account and therefore no statement of recognised gains and losses has been presented

ORCHARDLIGHT LIMITED
BALANCE SHEET AT 30 DECEMBER 2006

	Notes	30 Dec 2006 £000	30 Dec 2006 £000	24 Dec 2005 £000	24 Dec 2005 £000
Fixed assets					
Investments	4		**100,000**		100,000
Current assets					
Debtors	5	**38,842**		74,608	
Creditors: amounts falling due within one year	6	**(615,782)**		(681,548)	
Net current liabilities			**(576,940)**		(606,940)
Net liabilities			**(476,940)**		(506,940)
Capital and reserves					
Called up share capital	7		-		-
Profit and loss account	8		**(476,940)**		(506,940)
Shareholders' deficit			**(476,940)**		(506,940)

Approved by the Board of Directors 13 July 2007

G Hughes
Director

ORCHARDLIGHT LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

1 ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and preceding periods

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards

Under Financial Reporting Standard 1 'Cash flow statements', the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc, formerly MFI Furniture Group Plc

The financial statements include the undertakings for the 53 week period ended 30 December 2006, being the Saturday nearest to the Company's accounting reference date of 30 December The undertakings for the prior year relate to the 52 week period ended 24 December 2005, being the Saturday nearest to the Company's accounting reference date of 30 December

The Company is exempt from the requirement to prepare Group financial statements under s228 of the Companies Act 1985 since its results are included in the consolidated financial statements of its ultimate holding company, Galiform Plc The financial statements present information about the Company as an individual undertaking and not as a Group

INVESTMENTS

Investments are stated at cost less any provision for impairment

TAXATION

UK Corporation tax is provided at amounts expected to be paid/(or recovered) using tax rules and laws that have been enacted or substantially enacted by the balance sheet date

2. REMUNERATION OF DIRECTORS, STAFF COSTS AND AUDITORS' REMUNERATION

No director received any emoluments from the Company during the period *(2005 £nil)* The Company had no employees during the current or preceding period

The auditors' remuneration for the period is £5,000 (2005 £5,000) for audit services In both periods the auditors remuneration was borne by a fellow subsidiary undertaking, Galiform Corporate Services Limited, formerly MFI UK Ltd

3. TAX ON PROFIT ON ORDINARY ACTIVITIES

	30 Dec 2006 £000	24 Dec 2005 £000
UK Corporation tax	-	(147)

3. TAX ON PROFIT ON ORDINARY ACTIVITIES (cont'd)

Factors affecting current period corporation tax

	2006	2005
The taxation credit, as a percentage of profit on operating activities before taxation, is calculated at	0%	(0 04%)

The difference between the total current tax shown above and the amount calculated by applying the standard rate of UK Corporation tax to profit before tax is as follows

	2006 £'000	2005 £'000
Profit on ordinary activities before taxation for the period	30,000	(386,432)
Tax on profit on ordinary activities at the standard rate of corporation tax in the UK of 30% *(2005 30%)*	(9,000)	(115,929)
Effects of		
Dividend income not subject to tax	9,000	115,927
Adjustments relating to prior years	-	(145)
Current tax credit for the period	-	(147)

There is no unprovided deferred tax at the end of the current or prior period

4. FIXED ASSET INVESTMENTS

	30 Dec 2006 £'000
Cost	
At 24 December 2005	870,425
Additions in period	208,016
Disposals in period	(526,135)
At 30 December 2006	552,306
Provision for impairment	
At 24 December 2005	(770,425)
Disposals in the period	318,119
At 30 December 2006	(452,306)
Net Book Value	
At 30 December 2006	100,000
At 24 December 2005	100,000

The significant disposals during the year were the Company's disposal of its entire holding in MFI Retail Holdings Ltd, MFI Properties Ltd, and MFI Financial Services Ltd

4. FIXED ASSET INVESTMENTS (Cont'd)

Investments comprise shares in Group companies The principal subsidiaries at 30 December 2006 are listed below All subsidiaries are wholly owned and incorporated in Great Britain, and registered in England and Wales In the opinion of the directors the total value of shares in these companies is not less than the amount at which they are included in the balance sheet

Subsidiary	Principal activity
Galiform Corporate Services Limited (formerly MFI UK Limited)	Management services
Howden Joinery Limited	Trade kitchen furniture and joinery
Howden Kitchens Supplies Holdings Limited	Intermediate holding company for Group's sourcing operations
Group People Services Limited	Employment company

5. DEBTORS

	30 Dec 2006 £000	24 Dec 2005 £000
Amounts falling due within one year		
Amounts owed by fellow subsidiary undertakings	**38,841**	74,608
Other debtors	**1**	-
	38,842	74,608

6. CREDITORS

	30 Dec 2006 £000	24 Dec 2005 £000
Amounts falling due within one year		
Amounts owed to parent undertaking	**582,791**	681,524
Amounts owed to fellow group subsidiary	**31,260**	-
Other creditors	**27**	24
Accruals	**1,704**	-
	615,782	681,548

7. SHARE CAPITAL

	30 Dec 2006 £	24 Dec 2005 £
100 authorised ordinary shares of £1 each	**100**	100
2 allotted, called up and fully paid ordinary shares of £1 each	**2**	2

8. RECONCILIATION OF MOVEMENTS IN SHAREHOLDERS' FUNDS

	£'000
24 December 2005	(506,940)
Profit for the period	30,000
30 December 2006	**(476,940)**

9. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company and ultimate parent company and controlling party is Galiform Plc, formerly MFI Furniture Group Plc incorporated in Great Britain and registered in England and Wales

The largest and smallest Group in which the results of the Company are consolidated is that headed by Galiform Plc The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 'Related Parties' from the requirement to disclose related party transactions within the Group headed by Galiform Plc on the grounds that it is a wholly owned subsidiary

10. CONTINGENT LIABILITIES

The Company is party to a group Value Added Tax (VAT) registration with other members of the Galiform group It is jointly and severally liable for the VAT payable by those other group undertakings which, at 30 December 2006, amounted to £19 0m (2005 £19 0m)

In February the ultimate parent company, Galiform Plc, refinanced its medium term debt This Company has guaranteed the obligations of other group companies under this bank facility